

expected to perform well if AI adoption slows, faces regulation, or if the hype fades.

HOPE ABOUNDS

Valuations now appear reasonable, suggesting market returns will largely mirror earnings growth rather than re-rating, believes Neelesh Surana, Chief Investment Officer, Mirae Asset Investment Managers (India).

Shridatta Bhandwaladar, CIO for Equities at Canara Robeco Asset Management Company, is also hopeful.

He sees resolution of Indo-US tariff challenges, improving exports and foreign flows outlook, and a corporate earnings revival cyclically driven by a few factors as driving factors.

Bhandwaladar, on the other hand, says government consumption push through GST and personal income tax cuts, improving credit growth, interest rate cuts and surplus liquidity in the system, improving rural real wage growth, healthy corporate and bank balance sheets and favourable earnings base effect for 2026 are all positives.

With improvement in credit growth, led by satisfactory rate transmission and stronger private capex cycle, the conversion to corporate earnings should be faster, say analysts who cited rate cuts and ₹1.45 lakh crore RBI liquidity support.

Utsav Verma of Choice Institutional Equities notes that credit growth has been improving and was up 11.5% YoY as of November 28. Corporate earnings showed early contours of an upswing with 12.8% growth in net income for Nifty 500 in Q2FY26.

While the bottom line improved, the top line still is a concern. Overall poor demand led



“The IPO pipeline is crowded; flow of equity supply through OFSes, block deals unlikely to abate”

PRANAV HALDEA
MD, PRIME DATABASE



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NEELESH SURANA
CIO, MIRAE ASSET
INVESTMENT MANAGERS

to weak corporate revenue growth, with Nifty500 average revenue growth for Q2FY26 at 6.3%, 240 basis points slower than the nominal GDP growth of 8.7%.

High valuations in secondary market and subdued earnings growth drove investors toward the primary market, according to Vinod Nair, Head of Research at Geojit Investments.

He expects this momentum to continue in 2026, and maintains a

constructive view on the secondary market, supported by expectations of easing geopolitical risks and narrowing tariff gaps.

WHAT LIES AHEAD

Brokerages are optimistic. Levels of 29,500 for the Nifty and 98,500 for the Sensex—that’s the target set by ICICI Direct. Nomura sees Nifty at 29,300, while Emkay Global expects the 50-stock index at 29,000, in 2026.

Nair says the market upside is expected to be earnings-led rather than valuation-driven, with large caps providing growth and midcaps bringing back stability. He has raised his Nifty50 base target for December 2026 to 29,150—a 12% YoY return. His 2026 strategy favours a multi-cap portfolio, with 60% to large caps, 15% to mid-caps, and 10% to small caps.

“We recommend reducing exposure to gold and silver to 5% and maintaining debt at 10%,” Nair says.

Financial services firm Nomura recommends a selective bottom-up approach. “We suggest that investors avoid narrative-driven richly valued stocks, consider increasing exposure to underperforming exporters, and be selective on segments with government intervention.”

Axis Securities likes financials, as they would be beneficiaries of credit expansion and the interest rate cycle. It advises investors playing a domestic growth story through companies benefiting from consumption.

While markets wrapped 2025 with a mix of highs and lows, investors will try to find the silver lining in 2026. For now, even as experts show signs of optimism, it is safe to err on the side of caution. **BT**

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